RESP Guide

Registered Education Savings Plan rules for 2026 · CESG grants · limits · withdrawals · what to hold

An RESP helps you save for a child's education after high school. Contributions aren't deductible, but everything grows tax-sheltered, and the government adds grants on top. When the child goes to college, university or a trade school, the grants and growth come out as Educational Assistance Payments (EAPs), taxed in the student's hands, usually at little or no tax.

CESG: THE CANADA EDUCATION SAVINGS GRANT

Rule	Detail
Basic grant	20% of what you contribute for each child, on the first $2,500 a year: $500 per child per year.
Extra for lower incomes	Families with lower net income get an additional 10% or 20% on the first $500 contributed each year (up to $50 or $100 more).
Lifetime maximum	$7,200 per child. At $2,500 a year, you reach it after about 15 years ($36,000 of contributions).
Catching up	Unused grant room carries forward from the year the child is born. You can catch up one extra year at a time: at most $1,000 of basic CESG a year, on $5,000 of contributions.
Age limit	Contributions qualify until December 31 of the year the child turns 17.
Ages 16 and 17	Only if, before the end of the year the child turned 15, at least $2,000 was contributed OR at least $100 a year was contributed in any 4 years.
Canada Learning Bond	Lower-income families can also get up to $2,000 per child (born 2004 or later) with no contribution needed.
Repayment	If the money isn't used for education, the grants go back to the government.

CONTRIBUTION RULES

Rule	Detail
Lifetime limit	$50,000 per child, across every RESP for that child. Grants don't count toward it. Going over costs 1% per month on the excess.
No annual limit	You could put in the full $50,000 at once, but you'd get only one year of CESG. Spreading it out earns more in grants.
Deadline	December 31 for that year's grant. There's no 60-day window like the RRSP.
Several children	This tracker handles up to 4 children. A family plan can hold siblings, and the limits apply per child.

TAX AND WITHDRAWALS

Item	Treatment
Contributions	Not deductible (unlike an RRSP).
Growth inside the RESP	Not taxed while it stays in the plan.
EAPs (grants + growth)	Taxed as the student's income. In the first 13 weeks of a full-time program, EAPs are capped at $8,000.
Your contributions	Come back to you tax-free. Taken out while the child isn't in school, they trigger a grant repayment.
If no child goes to school	Growth can be paid to you as an Accumulated Income Payment: taxed at your rate plus an extra 20% (12% in Quebec). Moving it into your RRSP, up to $50,000 and if you have the room, avoids the extra tax.

WHAT TO HOLD, BY YEARS TO SCHOOL

Investment	Stage	Why
10+ years away: TSE:XEQT, TSE:VGRO	Growth	All-equity or 80/20 growth ETFs make the most of a long timeline.
5 to 10 years: TSE:XBAL	Balanced	A 60/40 balanced ETF reduces swings as school gets closer.
Under 5 years: TSE:XBB, GICs	Protect	Bonds and GICs protect what you've built for tuition.
Single stocks	Caution	Riskier, and losses inside an RESP can't be claimed.
US-listed stocks and ETFs	Usually avoid	15% US withholding on dividends can't be recovered in an RESP.

This guide is for general education and reflects the rules for 2026. Rules change. Talk to a tax professional about your situation.

Sources: canada.ca (Canada Education Savings Grant, Additional CESG, Canada Learning Bond, RESP contributions and withdrawals, Accumulated Income Payments).